

September 16, 2021
Rachel E. Dickon, Secretary
Federal Maritime Commission
Email: secretary@fmc.gov

RE: "Docket No. 20-15, Comments on PVO Financial Responsibility Rulemaking"

Comments By Marc S. Young, PE
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I am a diamond level Crown and Anchor cruiser on Royal Caribbean International, who has seen six prior cruises for myself and my wife and a major portion of a family cruise (for my daughter, her husband, her two twin daughters and my sister) cancelled due to the voluntary cruise line suspensions, and cruise line protocols. The Cruise lines have avoided claiming that the government mandates e.g. No Sail Order(s) and the Conditional Sail Orders were the causes of their cancellations¹. As the cancellations have progressed, it has become increasingly more difficult to obtain a full refund to which we were entitled, not only by the Royal Caribbean protocols and contract provisions, but we should have been entitled to by both FMC rules and I would also assert by FTC rules and regulations (FTC 30 day rule) for purchases made over the phone or online. See Federal Trade Commission Regulation 16 CFR Part 435.

My wife and I have had the following cancellations and subsequent refunds sent by the cruise line:

- 1) Royal Caribbean Explorer of the Seas 14 day Spanish Transatlantic Booking ID: 3634776
 - a. Original Sail Date: 6 Nov 2020
 - b. Original Reservation on or about 21 May 2019 on Explorer (Next Cruise)
 - c. Deposit was \$200 on 21 May 2019 (Paid by AMEX via Onboard Account)
 - d. Online Cruise Planner (2 "The Key" @ \$475.72 - \$200 OBC) 14 Jan 2020 (AMEX)
 - e. Paid Remaining Balance on Feb 8, 2020, of \$2,624.72 (AMEX).
 - f. **Cruise Cancelled on 8/5/2020 by Royal Caribbean** (RCL Extended Voluntary Suspension)
 - g. Refund of \$223.72 on 8/25/2020 by RCL (Partial tax, Fees and Port Expense) to AMEX
 - h. Refund of \$223.72 on 8/28/2020 by RCL (Partial refund to VISA - ?)
 - i. Refund of \$223.72 on 8/28/2020 by RCL (
 - j. Refund of \$28.28 on 8/28/2020 by RCL (Partial refund to VISA - ?)
 - k. Refund of \$2,401.00 on 8/28/2020 (Remaining balance to VISA **20 days after request**)
- 2) Royal Caribbean Ovation of the Sea 7 day Alaska Cruise Booking ID: 2154282
(2 cancellations- with one final refund)
 - a. Original Sail Date: 03 July 2020
 - b. Original Reservation on November 25, 2019, by phone direct to RCCL Reservation Line
 - c. Paid Deposit of \$500 on 25 November 2019 on AMEX card
 - d. Repriced on 12/14/2019
 - e. Paid Remaining Balance of \$3,863 on January 3, 2020
 - f. Purchased Excursion online Cruise Planner \$281.98 on 3/2/2020 (VISA)

¹ What is important about this distinction is the fact that by doing these voluntary suspensions and cancellations, it removes the cancelled party's ability to find recourse against the illegal actions taken by the CDC in federal court due to the standing issues it created. Commenter experienced this issue first hand in a case filed in Federal District Court of South Texas-Houston Division in June 2020.

- g. **Cruise Line Cancelled on 6/9/2020** (Due to Voluntary Suspension)
 - h. Rebooked for Revised Sail Date of 03 July 2021 on Ovation of the Seas 7 day Alaska
 - i. Refunded \$1,480.72 Fare Difference + Excursion to VISA (6/11/20 **4 days after change**)
 - j. **Cruise Line Cancelled on 5/21/2021** (After ATRA but due to RCL reallocation of Ships)
 - k. Refunded \$281.98 On 6/7/2021 (Partial Refund of Tax, Fees and Port Expenses) to VISA
 - l. Refunded \$148.34 on 6/8/2021 (Partial Refund of Tax, Fees and Port Expenses) to AMEX
 - m. Refunded \$2,516.00 on 7/12/2021 (Remaining Balance) on VISA. (**52 days after request**)
- 3) Royal Caribbean-Liberty of the Seas-7 Night Western Caribbean: Booking ID: 8285645
(2 Cancellations)
- a. Original Sail Date: 16 Aug 2020
 - b. Original Reservation on April 8, 2020, by phone to RCCL Club Royale Reservation Line
 - c. Free Interior Cabin (For Club Royale Prime)+Upgrade to Oceanview Balcony
 - d. Paid in Full on April 8, 2020, \$857.18 VISA
 - e. Cruise planner (Online)-on 6/5/2020 \$237.86 (2 Key @ \$118.99) VISA
 - f. Cruise planner (Online)-on 6/5/2020 \$169.98 (2 Mystery Dinners @\$84.99 each)
 - g. **Cruise Line Cancelled on 6/23/2020** (Due to Voluntary Suspension)
 - h. Refund on 7/5/2020 1 Key (Marc) at \$118.99 VISA
 - i. Refund on 7/5/2020 1 Key (Rebecca) at \$118.99 VISA
 - j. Refund on 7/5/2020 1 Mystery Dinner (Marc) at \$84.99 VISA
 - k. Refund on 7/5/2020 1 Mystery Dinner (Rebecca) at \$84.99 VISA
 - l. Club Royale Phone Lift and Shifted to Jewel of the Seas 7 Day Bahama & Perfect Day Cruise, 7/8/2020
 - m. Revised Sail Date: 24 Jan 21 Fare @ \$654.18 (used original fare less prepaid gratuities)
 - n. Refunded the Prepaid Gratuities + \$0.74 fare difference (\$203.74) VISA 7/12/2020 (3 day)
 - o. Cruise planner Online \$373.84 (Coco Beach Club 2@ 46.99 + 2@139.93 The Key) 9/25/20-VISA
 - p. **Cruise Line Cancelled on 12/2/2020** (Due to Voluntary Suspension Extension)
 - q. Partial Return - \$203.00 To VISA on 12/13/2020 (**11 days after refund request**)
 - r. Partial Return - \$426.00 To VISA on 12/13/2020 (**11 days after refund request**)
 - s. Final Return - \$24.44 To VISA on 12/13/2020 (**11 days after refund request**)
- 4) Norwegian-Norwegian Star- Santiago, Chile to Miami, Panama Cruise Booking ID: 44601138
- a. Original Sail Date: 27 Mar 21
 - b. Original Reservation by Phone with Agent at iCruise on 8 Jul 20
 - c. Original Deposit of \$250 on VISA
 - d. **Cancelled on October 5th, 2020** (Due to voluntary suspension by NCL)
 - e. Refund Received of \$250 as of October 9, 2020 (4 days)
- 5) Royal Caribbean – Anthem of the Seas – 14 Day Transatlantic Booking ID: 7671602
- a. Original Sail Date: 6 Nov 2021
 - b. Original Reservation by Phone with Agent at iCruise on 6 Oct 20
 - c. Original Deposit of \$900 on VISA
 - d. Cruise planner \$189.90 VISA on 6/27/21 (2 keys @169.90 each less \$150 OBC)
 - e. Final Payment of \$1,159.08 on 6/28/21 On VISA
 - f. Transfers to/from ship and Airport by RCL \$247.80 on 6/28/21 on VISA
 - g. Travel Insurance (by iCruise) \$190.32 on 6/28/21 on VISA

- h. **Canceled by the Cruise Line on 8/5/21** (No explanation other than call by agent)
 - i. iCruise refunded the travel Insurance of \$190.32 on VISA on Aug 7, 2021
 - j. Royal Caribbean still owes me \$2,496.68 (41 days since full refund requested)
- 6) Royal Caribbean – Liberty of the Seas – 7 Day Western Caribbean (Family Cruise)
Booking IDs: 6312882, 1960602, 6315380 and 8959880
- a. Original Sail Date: 29 August 21
 - b. Original Deposit was \$1,000 (\$500 each for two suites) paid on 11/19/19 on AMEX
 - c. Original Deposits were paid for myself and my wife, my daughter and her husband
 - d. Additional Deposits of \$1,000 more for 4 more @ \$250 each on 6/14/21 on my VISA
 - e. Final Payment for 3 of the reservations were made of \$11,255.96 on 5/4/21 on VISA
 - f. An additional \$500 deposit was made for my son and his wife on 5/28/21 on my VISA
 - g. Full payment was made for my son and his wife of \$1,997.36 on 5/28/21 on my VISA
 - h. Full payment to add my son's two children of \$1,860.05 on 5/30/21 on my VISA
 - i. Family Cruise on **Liberty of the Seas Cancelled effective 6/4/21** due to RCL repositioning of ships but reservations will be moved to Independence of the Seas.
 - j. Revised Cruise Vacation Receipts for Shift to Independence of the Seas 14 Jun 21
 - k. Due to shifting of cabin for son and wife (We had him added to our suite) and eliminating his stateroom) we were refunded on 6/27/21 \$360.25 to my VISA (13 days after change)
 - l. Due to shifting of cabin for son and wife (We had her added to our suite) and eliminating their stateroom) we were refunded on 7/1/21 \$168.00 to my VISA (17 days after change)
 - m. My sister was moved to my daughter's suite (for no change in cost)
 - n. Received an email on 7/15/21 stating testing was for UNVACINATED GUESTS age 2-12 and that all other guests were to be vaccinated.
 - o. Performed Online Check-in for myself and my wife on 7/16/21 and asked each other member of our party to do so as well.
 - p. Noted a change on 7/30/21 on the RCL Website of changes in Preboarding Testing for all persons including vaccinated persons at the passenger's cost. Tried to contact RCL for clarification and noted this was in violation of the International Health Regulations. **My email address was blocked by RCL as SPAM.**
 - q. Received travel documents (eDocs) for three of the four reservations on 7/30/21. My reservation eDocs was blank. Mine was received on 8/3/21.
 - r. We were told of a change to the testing protocols (new requirement for preboarding testing 2 days prior to cruise) after online check in for the cruise on 7/16/21 and receipt of eDocs on 8/3/21.
 - s. Because of all the changes in the COVID testing protocols and the changes in the Cruise Contract language I was finally provided, I purchased travel insurance for all RCC119138 (\$138.00); RCC119139 (\$526.00); RCC119140 (\$526.00); RCC119141 (\$138.00) Total Cost was \$1,328.00 Charged on VISA on 8/3/21. Because it was after the final payment date, we were not covered for the "cancel of any reason" provision of the policies that was provided by Royal Caribbean.
 - t. We scheduled a Pre-boarding COVID-19 antigen test for myself and my wife on 8/16/2021 to be performed by CVS Pharmacy in Houston 3 days before sailing date.
 - u. My daughter raised serious concerns about the testing protocols, and I tried to address with RCL, but my email was blocked to Company management and I was forced to send

my inquiry to their website contact page. Only an automated response was received from RCL and no formal response later.

- v. A key issue raised was the fact that they were requiring an additional test that could not be performed on the two year old twins at the local drugstore since they did not take anyone under the age of three.
- w. I will omit some the details on the difficulties obtaining last minute COVID tests and getting all the negative results for the twelve in our party back in time for boarding, but it is sufficient to say it did not go without problems. My two twin two-year old granddaughters had to be tested at their pediatrician's office. One of them had an antigen test come back positive. The Doctor claimed there had been a lot of false positives with these tests, so she always ordered another PCR test to confirm. Problem was the lab only reported the results back to the Doctor's office and the Doctors office was closed over the weekend. Thankfully the doctor relented based on multiple patients needing results back on Saturday. Unluckily my granddaughter's PCR test confirmed a positive test on Saturday.
- x. On the basis of that positive test my daughter had to answer my granddaughter online health questionnaire as having tested positive on her online check-in health questionnaire the day before the cruise. My daughter, her husband, my daughter for the other twin and my sister who had made the unfortunate decision to stay with my daughter at her house prior to the cruise after traveling down from NW Arkansas, all had to report exposure within 14 days to some with COVID. Needless to say, all five were noted on their final online check-in as being "denied boarding".
- y. Luckily for my wife, my wife's best friend and my sone and his family, the other 7 members of our party none had any contact with my daughter's family for more than three weeks prior to the cruise.²
- z. As soon as we found out of the positive test, we contacted RCL @ 10:30 am CDST to try to resolve the issue of the and to work out what was going to happen. RCL only wanted to give us an option of cancelling my wife and my family cruise (to celebrate our 50th wedding anniversary) for everyone and threatening us with only a no refund except for tases, fees and port expenses for those that they claimed would be "no shows" if we did not. This was contrary to the cruise contract terms and conditions they had arbitrarily changed and imposed on us since we originally contracted for the cruise in November 2019. We could not reach resolution prior to the final manifest having to be sent to the ship by 12:00 Noon EDST.
- aa. Clearly the Cruise Contract in Section 4e stated that anyone denied boarding due to testing positive to COVID-19 or being in contact with a person with COVID-19 was entitled to a full refund.
- bb. Although seven of our party were allowed to board, we had to deal with multiple issues onboard due to the fact that we had (2) two bedroom suites and many of the reservations I had made for our party (e.g., Onboard Internet and dinner for our celebration at their high end steakhouse, Chops Grill Photo Packages and gifts for the grandkids.) I could not make from my reservation due to limitations on their onboard reservation system. Even calling into their reservation agents they could not make the reservation on one booking reservation. So many of the reservations had to be split with half under my name and half under my daughter's name. Or to each of four different

² Do you know how hard it is to keep a devoted grandmother away from her two year old twin granddaughters for three weeks prior to departure?

reservations. Since each reservation was limited to four in the party. The suites were advertised to be able to accommodate up to 8 each. Because my daughter was treated by Royal Caribbean as a “no show”, even though it was due to denied boarding, all the reservations were cancelled and were supposed to be refunded.

- cc. Once onboard, because we had one of our party that had been under my daughter’s reservation who had been able to board, we had 2 two bedroom suites with six in one and one in the other. Once at sea the Onboard Guest Services was able to reallocate my wife and I along with her best friend to be in the other suite and my son and his wife and their two kids in the other.
- dd. When we tried to keep the Online Internet for our suite, they claimed that it would be refunded to my daughter’s reservation, but they would recharge me for it at the same rate. But instead charged my wife’s best friend onboard account the full amount. We finally got that straightened out, but it took multiple trips to Guest Services. In the meantime, there was an instance of my wife’s friend being charged an additional \$800 to her credit card that she finally was able to get removed.
- ee. I was told onboard they could not address anything about the issues with our passengers denied boarding, but I would have to deal with Post Cruise Resolution Team.
- ff. Finally, on returning after the cruise in initial discussions with their Post Resolution agent, Denise, she stated we were not entitled to a refund due to my daughter her family and my sister all being “no shows”. I had to make her escalate it to a manager and the Post Resolution Team. Only when I cited the Cruise Contract Language, showed I had documentation to prove the positive test for the granddaughter and had saved copies my daughter had made at my request of each and every one of the online medical questionnaire’s “Denied Boarding” statements was I able to get Royal Caribbean’s Post Resolution Team to go to their upper management and get approval for a full refund.
- gg. Currently, I am awaiting on an agreed upon amount of \$8,108.70 for both the cancelled fares and the canceled online Internet and restaurant cancellations.

This makes the total amount of refunds I am currently awaiting from Royal Caribbean equal to \$10,605.38.

What cannot be understated is that in many instances, Royal Caribbean has been allowed to hold a non-refundable deposit or the full cruise fare, prepayment for cruise excursions and other cruise amenities for as much a two years. All with benefit of no payment of interest. What is equally important is that each of these cancellations has been noted as being due to a voluntary suspension by the cruise line not due to the actual regulations or CDC mandate.

The above cases show how many payments are being made requiring extensive efforts on the part of each passenger due a repayment and sometimes on multiple original sources of payment. The accounting alone can be time consuming and an almost impossible task to follow for all except the most astute in bookkeeping or accounting. There is no compensation for this time we are forced to spend and the difficulty in reaching anyone at the cruise lines that are authorized to take action when an error is made on their part. The errors have been many.

There are other expenses that I have incurred and are still at risk. For the original Transatlantic Cruise (#1 above) my wife and I and her best friend jointly made reservations and paid in full for a transatlantic flight to Rome of over \$3,000. We had travel insurance on this flight. But as soon as we cancelled it due

to the cruise being cancelled, because the fares were non-refundable not only did the airlines only offer us a flight certificate (which was to be used by) Because of COVID we were unable to utilize those for any other scheduled travel, so when the 1st Alaska cruise in #2 above was cancelled, we took the fare from our previous flight reservations to Seattle and upgraded those to 1st class reservation for the subsequent travel. Note the flight insurance company refused to roll over the change to the new flight they just canceled and refunded, even though I objected. With the cancellation of the 2nd Alaska cruise scheduled for 2 July 2021, we now have a renewed certificate for travel on United for \$1,050 each which will expire on 11 August 2023. We were going to attempt to utilize those certificates to fly to London for the Transatlantic that we had scheduled in October (#5) but due to its cancellation, and what appears to be restrictions by the CDC on cruises with passengers on ships not homeporting in the US, we have had to reschedule our Transatlantic to go from the US to Rome. Only problem is now the flights from Rome to Houston are almost (~\$2,800 versus ~\$900) as the original Houston to Rome flights.

I believe that what the FMC is proposing for repayment of refunds must not be allowed to supersede the state and other federal regulations dealing with deceptive practices. For goods sold by the phone, or on the Internet as are many of the cruise fares and excursions, why would not 16 CFR Part 435 not apply? As soon as the cruise lines know they cannot deliver within 30 days of a scheduled cruise date the original cruise, why are they not required to provide a full refund in 7 days?

Clearly the question has to be asked as to why the cruise lines are not able to pay back prepayments for cruise fares or excursions prepayments or any other unearned payments. Should not the cruise lines be required to escrow or maintain in separate accounts the payments made by customers for any service not yet received? Should not their accounting maintain those as liabilities that do not allow for them to be carried to revenue or earnings per normal GAAPs. If so, while it may take up to thirty days to deal with the accounting for refunds, it should not be a cashflow issue. If it is, are not the cruise lines guilty of a Ponzi type or check knitting type of scheme. As soon as it became apparent that cruises were being suspended why were future sales of cruises not suspended.

I have always been concerned that the number of outstanding prepayments made to Royal Caribbean, many prior to the outbreak of COVID were at risk to loss due to a bankruptcy filing by Royal Caribbean. Although I am concerned, I am also aware that the Federal Maritime Commission has a mandate to prevent the loss by passengers of a prepaid fare. They should be demanding surety insurance, bonding or other means of insuring that passengers get paid back for non-performance by cruise lines.

I do not believe that the 60 day and 180 day timing proposed in the current proposed rulemaking is fair to the sailing public. Not without interest being paid. I suggest that a 30 day (voluntary) and 60 day (government imposed) limitation without interest is the fair timing for refunds given the above accounting considerations. Any longer timing is just a gift to the Cruise Line Industry, unless it contains an interest payment equal to the rate the cruise line has to pay in its latest bonds it has sold in the open market.